

AOR Update: Recession or vibecession?

Date: 2026-01-28

Source: <https://www.franklintempleton.com/articles/2025/clearbridge-investments/aor-update-recession-or-vibecession>

Extraction method: selenium

AOR Update: Recession or vibecession?

Key takeaways

The degree to which a recent plunge in "soft" survey data, which typically occurs during recessions, translates into weakness in actual "hard" data in the coming months will be crucial in determining the health of the economy.

The risk-reward tradeoff facing the economy and financial markets skews unfavorably in our view, although a positive change in trade policy or a renewed focus from the administration on its supply-side agenda (deregulation, tax cuts/fiscal support) could drive a favorable shift.

The overall dashboard reading remains in expansionary green territory, although it is too early for the data to reflect the impacts from higher tariffs. Profit Margins worsened to a cautionary yellow signal this month.

It is often said that March "comes in like a lion, out like a lamb." This references the transition from winter to spring weather, but it is perhaps more applicable to what equity markets experienced in April this year. US equities fell precipitously in the week following President Trump's "Liberation Day" tariff announcements, with the S&P 500 Index sliding by -11% and the VIX spiking above 50. This brought equities to the precipice of bear market territory, down -19% from the February 19 peak. However, stocks rallied back later in the month amid signs of tariff de-escalation. Remarkably, the S&P 500 ended down "just" -0.8% for the month.

Survey data was already showing meaningful signs of deterioration during the first quarter of 2025, a trend that accelerated in April. For example, the Conference Board's Consumer Confidence survey had already dropped by -18.9 points from its November post-election peak through March, before April's -7.9 decline brought the measure back to the 2020 pandemic lows. Deteriorations like this typically only occur during recessions, meaning the degree to which weaker "soft" survey measures translate into actual "hard" data in the coming months will be crucial in determining the health of the US economy (Exhibit 1).

There is some debate about whether the hard data will ultimately follow the soft data, however. This primarily stems from what occurred in 2022, when soft data weakened precipitously in the wake of the Russian invasion of Ukraine, the regional bank crisis and elevated inflation, while the hard data largely held up. This period came to be known as the "vibecession." Even though many Americans didn't feel great about the health of the economy, their continued strength on the back of a healthy labor market, prior fiscal support and residual pandemic savings powered the economy forward.

Exhibit 1: Hard vs. Soft Data

Source: Citi. Note: Citi US Soft and Hard Economic Data Change Indices. As of April 30, 2025.

In 2025, the probability of consumer strength overpowering trade-related headwinds appears lower, in our view. While the labor market remains healthy with monthly job creation averaging 144k so far in 2025, this pales in comparison to the red-hot labor market of 2022 when monthly job creation averaged 380k (and 603k in 2021). Further cooling in the labor market could prove problematic for the economy given the fact that labor income represents the majority of spending power for most Americans. Importantly, consumers appear to have already begun to retrench in the face of elevated uncertainty, as highlighted by Chipotle CEO Scott Boatwright during the burrito chain's first-quarter earnings call:

"Saving money because of concerns around the economy was the overwhelming reason consumers were reducing the frequency of restaurant visits."

Dashboard remains green, but beware of 1970s echoes

In the coming months, investor attention will be focused on signs that hard data may—or may not—be rolling over. Our own starting point in that endeavor will be our economic north star, the ClearBridge Recession Risk Dashboard.

Last month, we noted that the dashboard did not yet reflect the impacts from tariff announcements, similar to what

happened at the start of the pandemic. This dynamic was also present in the dashboard with the oil embargo of the 1970s, another period where exogenous shocks ultimately led to a recession.

In fact, several elements of the 1973-75 recession rhyme with the current environment. We wrote about this period in more detail a few years ago, but to quickly recap: an expansion in fiscal spending in the mid-1960s to finance the Vietnam War and the Great Society social welfare programs helped to push up inflation. This was compounded by loose monetary policy, which led foreign investors to question the sustainability of the gold standard. A run on the dollar was followed by the move off the gold standard, along with wage and price controls, and eventually an oil crisis.

There are key differences between that period and today as well, such as: the United States is no longer on the gold standard, today's demographic backdrop suggests less inflation risk and the development of the US shale industry has provided an offset (economically) to the negative impacts of higher oil prices.

Interestingly, however, while soft data (ISM New Orders) and hard data (Retail Sales, Profit Margins) began to worsen on the dashboard as the energy shock unfolded in the mid-1970s, it was the soft data deteriorating to red first, while the hard data held up in yellow territory, initially.

Exhibit 2: 1973-1975 Recession Dashboard Evolution

Source: BLS, Federal Reserve, Census Bureau, ISM, BEA, American Chemistry Council, American Trucking Association, Conference Board, and Bloomberg. The ClearBridge Recession Risk Dashboard was created in January 2016. References to the signals it would have sent in the years prior to January 2016 are based on how the underlying data was reflected in the component indicators at the time.

Some elements of the current environment rhyme with this historical period. For example, ISM New Orders have quickly deteriorated over the past few months as the trade war has escalated. While it is too soon for hard data indicators to show trade-related weakness, at least one Profit Margins appears to have been seeing headwinds even before Liberation Day. This indicator worsened to a cautionary yellow signal this month. The overall dashboard reading remains in expansionary green territory, and there are no other changes to the dashboard this month (Exhibit 3).

The deterioration in Profit Margins reflects events that unfolded prior to the escalation of the trade war. Inflation, and thus the pricing power of corporations, has cooled more rapidly than wages and other key input costs, crimping profits. This has driven profit margins down from record levels, which is driving the signal change to yellow. In the absence of a trade war, this dynamic would be less concerning. However, the prospect of additional strain on margins in the coming months from higher tariffs appears likely. This is worrying because as margins contract and profits erode, corporate management teams are often eventually forced to lay off workers, starting or amplifying a recessionary feedback loop as consumers pull back given the loss of income.

Exhibit 3: US Recession Risk Indicators

Sources: BLS, Federal Reserve, Census Bureau, ISM, BEA, American Chemistry Council, American Trucking Association, Conference Board, Bloomberg, CME, FactSet and Macrobond. Data as of April 30, 2025. The ClearBridge Recession Risk Dashboard was created in January 2016. References to the signals it would have sent in the years prior to January 2016 are based on how the underlying data was reflected in the component indicators at the time.

Given this, we continue to believe that Initial Jobless Claims are the single most important economic indicator to watch—our canary in the coalmine—in determining the path of the economy. So far, claims have held up extremely well in the weeks following Liberation Day, and we believe the late-April jump is a seasonal adjustment issue related to the timing of spring break in New York that has cropped up over the past few years but will likely reverse in early May. However, slipping profit margins means there is less of a buffer should the labor market weaken or demand slow in the coming months.

This leads us to believe that the risk-reward tradeoff facing both the economy and financial markets skews to the downside at present. A positive change in trade policy or a renewed focus from the administration on its supply-side agenda (deregulation, tax cuts/fiscal support) could shift the skew to be more favorable. However, prompt action is likely needed in order to counteract the negative (and building) effects of elevated uncertainty and margin pressure.

As a result, we believe that a focus on higher-quality companies with proven track records managing through periods of turmoil—such as dividend growers—should continue to benefit investors. Notably, companies that have been able to consistently raise their dividends recently closed one of the largest 12-month performance gaps witnessed in the last 30 years relative to the S&P 500. Following similar periods of underperformance in the late 1990s and early 2020s,

dividend growers then went on to outperform the S&P 500 in subsequent years.

Exhibit 4: Dividend Growers Gaining

Sources: S&P, NBER, Bloomberg.*Dividend Growers are S&P 500 stocks with three consecutive trailing years of positive dividend growth (inclusive of special dividends) on a rolling basis (quarterly), evaluated monthly, equal weighted. Data as of March 31, 2025.

[View more about ClearBridge Investments and the strategies they manage.](#)

WHAT ARE THE RISKS?

All investments involve risks, including possible loss of principal. Past performance is no guarantee of future results. Please note that an investor cannot invest directly in an index. Unmanaged index returns do not reflect any fees, expenses or sales charges.

Equity securities are subject to price fluctuation and possible loss of principal. Large-capitalization companies may fall out of favor with investors based on market and economic conditions. Small- and mid-cap stocks involve greater risks and volatility than large-cap stocks.

Commodities and currencies contain heightened risk that include market, political, regulatory, and natural conditions and may not be suitable for all investors.

US Treasuries are direct debt obligations issued and backed by the "full faith and credit" of the US government. The US government guarantees the principal and interest payments on US Treasuries when the securities are held to maturity. Unlike US Treasuries, debt securities issued by the federal agencies and instrumentalities and related investments may or may not be backed by the full faith and credit of the US government. Even when the US government guarantees principal and interest payments on securities, this guarantee does not apply to losses resulting from declines in the market value of these securities.

[View more about ClearBridge Investments and the strategies they manage.](#)

CONTRIBUTORS

Jeffrey Schulze, CFA

Head of Economic and Market Strategy

Josh Jamner, CFA

Investment Strategy Analyst

Related Content

[The Long View: Diversification for uncharted waters](#)

[AOR Update: Not Your Father's Energy Crisis](#)

[Explore ClearBridge Investments Insights](#)

RELATED CONTENT

IMPORTANT LEGAL INFORMATION

This material is intended to be of general interest only and should not be construed as individual investment advice or a recommendation or solicitation to buy, sell or hold any security or to adopt any investment strategy. It does not constitute legal or tax advice. This material may not be reproduced, distributed or published without prior written permission from Franklin Templeton.

The views expressed are those of the investment manager and the comments, opinions and analyses are rendered as at publication date and may change without notice. The underlying assumptions and these views are subject to change based on market and other conditions and may differ from other portfolio managers or of the firm as a whole. The information provided in this material is not intended as a complete analysis of every material fact regarding any country, region or market. There is no assurance that any prediction, projection or forecast on the economy, stock market, bond market or the economic trends of the markets will be realized. The value of investments and the income from them can

go down as well as up and you may not get back the full amount that you invested. Past performance is not necessarily indicative nor a guarantee of future performance. All investments involve risks, including possible loss of principal.

Any research and analysis contained in this material has been procured by Franklin Templeton for its own purposes and may be acted upon in that connection and, as such, is provided to you incidentally. Data from third party sources may have been used in the preparation of this material and Franklin Templeton ("FT") has not independently verified, validated or audited such data. Although information has been obtained from sources that Franklin Templeton believes to be reliable, no guarantee can be given as to its accuracy and such information may be incomplete or condensed and may be subject to change at any time without notice. The mention of any individual securities should neither constitute nor be construed as a recommendation to purchase, hold or sell any securities, and the information provided regarding such individual securities (if any) is not a sufficient basis upon which to make an investment decision. FT accepts no liability whatsoever for any loss arising from use of this information and reliance upon the comments, opinions and analyses in the material is at the sole discretion of the user.

Franklin Templeton has environmental, social and governance (ESG) capabilities; however, not all strategies or products for a strategy consider ESG as part of their investment process.

Products, services and information may not be available in all jurisdictions and are offered outside the U.S. by other FT affiliates and/or their distributors as local laws and regulation permits. Please consult your own financial professional or Franklin Templeton institutional contact for further information on availability of products and services in your jurisdiction.

Issued in the U.S. by Franklin Templeton, One Franklin Parkway, San Mateo, California 94403-1906, (800) DIAL BEN/342-5236, franklintempleton.com. Investments are not FDIC insured; may lose value; and are not bank guaranteed.

You need Adobe Acrobat Reader to view and print PDF documents. Download a free version from Adobe's website.

CFA® and Chartered Financial Analyst® are trademarks owned by CFA Institute.